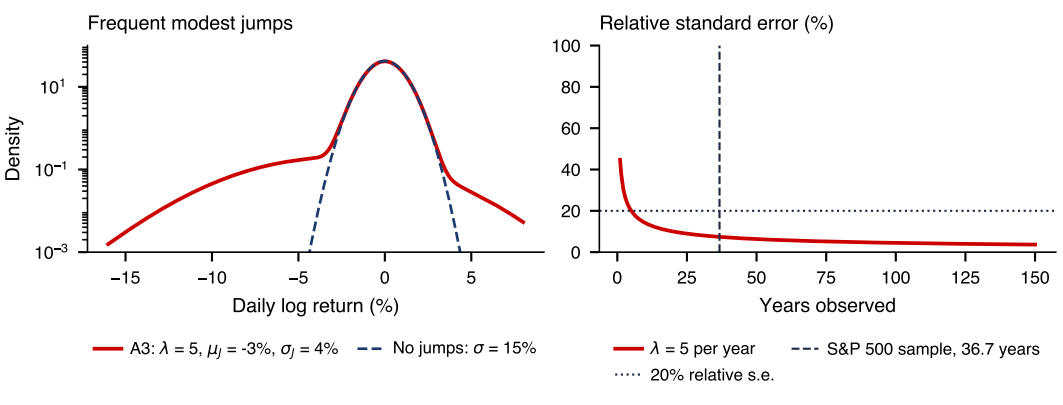
Frequent modest jumps
Density
10^{1}
10^{-1}
10^{-3}
−15
−10
−5
0
5
Daily log return (%)
A3: λ = 5, μ_J = -3%, σ_J = 4%
No jumps: σ = 15%
Relative standard error (%)
100
80
60
40
20
0
0
25
50
75
100
125
150
Years observed
λ = 5 per year
S&P 500 sample, 36.7 years
20% relative s.e.